LAGOS BUSINESS SCHOOL · MEMBA 14 · EEGB · PART I

SESSION 1

Course Overview & Data Literacy for Managers



From markets, to macro, to decisions that matter — in Nigeria and the world.

❐ Reading: Note on Microeconomics for Managers · Facilitator: Bongo Adi

TODAY'S PLAN

Session 1 at a Glance — 75 Minutes

Why economics is a management tool, and how to read the numbers that move your business.



Welcome & Course Map

What EEGB covers and how you will be assessed

The Economic Way of Thinking

Incentives, trade-offs, margins, and the micro–macro link

Reading Official Data

Inflation, FX, rates, reserves, PMI — and their traps

Lab: Board Dashboard

Six numbers, one page, one story

BY THE END OF TODAY

Session 1 Learning Objectives

You will be able to:

01

Think Like an Economist

Use incentives, opportunity cost and marginal thinking to frame a business decision.

02

Read Official Data

Find, read and question CBN, NBS, IMF and FRED data — levels, rates of change, breaks and revisions.

03

Build a Macro Dashboard

Choose the few numbers your board should watch and present them clearly every month.

Course Roadmap — 16 Sessions, 4 Parts

Pre-module and intra-module online sessions, sixteen on-campus sessions, and a closed-book final exam.

YOU ARE HERE

Part I



Sessions 1–5

Micro & markets

Data literacy, demand and elasticity, forecasting, market structure and platforms, market failures

Part II



Sessions 6–10

Macro, policy & risk

AD–AS and inflation, national accounts, monetary policy, fiscal policy and debt, financial stability

Part III



Sessions 11–12

Open economy

Exchange rates, capital flows and the trilemma; trade, supply chains, industrial policy and AfCFTA

Part IV



Sessions 13–16

Strategic frontiers

Climate economics, country risk and scenarios, hedging and resilience, capstone memos

Assessment and Evaluation

Component	Weight	What it involves
Class participation (in-person + online)	30%	Cold calls, in-class problem-solving, polls and short reaction notes
Short quizzes / polls	10%	Pre-class checks on the readings
Practice-based assignment	20%	Case analysis or policy brief, data labs (FRED / IMF / CBN / NBS / World Bank) and a country or industry macro policy memo
Final exam	40%	On-site, closed-book examination

Participation is a third of the grade. Read the case, bring a number, and be ready to defend a recommendation.

THE HOOK

Five Numbers Before Breakfast



“Our sales are up 30% this year. The board is delighted.”

Before celebrating, an economist asks three questions:

% Real or nominal?

With inflation near 30%, a 30% rise in naira sales may mean no growth in volume at all.

⇄ In which currency?

In dollars, the same sales may have halved after the naira moved from ₦460 to ₦1,500.

☺ Compared with whom?

If the whole market grew 45%, a 30% rise means we lost share.

The Board's Macro Page

The situation

A Lagos FMCG company imports a third of its inputs and sells only in naira. Its board meets monthly and receives forty pages of numbers.

The decision question

Which **five or six macro numbers** should the directors see every month — and how should they be shown?

The data we have

ng_macro_monthly.csv — 132 months (2015–2025) of inflation, policy rate, exchange rates, oil price, reserves, money, credit and PMI. *Stylised teaching data.*

What a good answer looks like

A one-page dashboard: each number with its **latest value, change on a year ago and a one-line 'so what' for the business**.

PART

01

The Economic Way of Thinking

Four ideas that do most of the work.

Four Ideas Economists Use Every Day

$ People respond to incentives

Change the price, tax, subsidy or rule and behaviour changes — often in ways the rule-maker did not intend. Petrol subsidies encouraged smuggling to neighbouring countries.

⚖ Every choice has an opportunity cost

The true cost of a decision is the best thing you gave up. Holding ₦1bn in cash in 2024 cost the interest you could have earned — and the value inflation ate.

+ Decide at the margin

Ask what one more unit adds, not what the average is. Should we run a third shift? Compare the extra revenue with the extra cost of that shift.

◍ Micro and macro meet in your P&L

Your prices and volumes (micro) depend on inflation, rates and the exchange rate (macro). This course connects the two.

Taking Inflation Out of the Numbers

%

IN PLAIN ENGLISH

A **nominal** number is measured in today's naira. A **real** number strips out inflation so you can see whether volumes or purchasing power really changed.

EXAMPLE

Sales up **30%** while prices rose **28%** → real growth of roughly **2%**. The business barely grew.

THE FORMULA

real growth ≈ nominal growth − inflation

WHY A MANAGER CARES

Bonuses, targets and investment cases set in nominal naira reward inflation, not performance. Always ask for the real number.

TWO LENSES

Microeconomics and Macroeconomics

Microeconomics

Individual markets, firms and consumers

- Prices, costs and elasticities
- Market structure and competition
- Market failures and regulation
- Sessions 2–5

Macroeconomics

The economy as a whole

- Growth, inflation and unemployment
- Interest rates, money and the exchange rate
- Government budgets, debt and the balance of payments
- Sessions 6–12

Managers live where the two meet: a policy-rate decision (macro) changes your customers' credit and your cost of funds (micro).

Quick Check: What Would You Say?

?

Your division's naira revenue grew 30% last year while inflation averaged 28% and the naira lost half its dollar value. What is the best summary?

A. Strong growth — 30% beats most competitors

B. Revenue roughly flat in real terms, and down sharply in dollars

C. Revenue fell 28% in real terms

D. We cannot say anything without profit data

Discuss with your neighbour for 60 seconds — answer and reasoning in the speaker notes.

PART

02

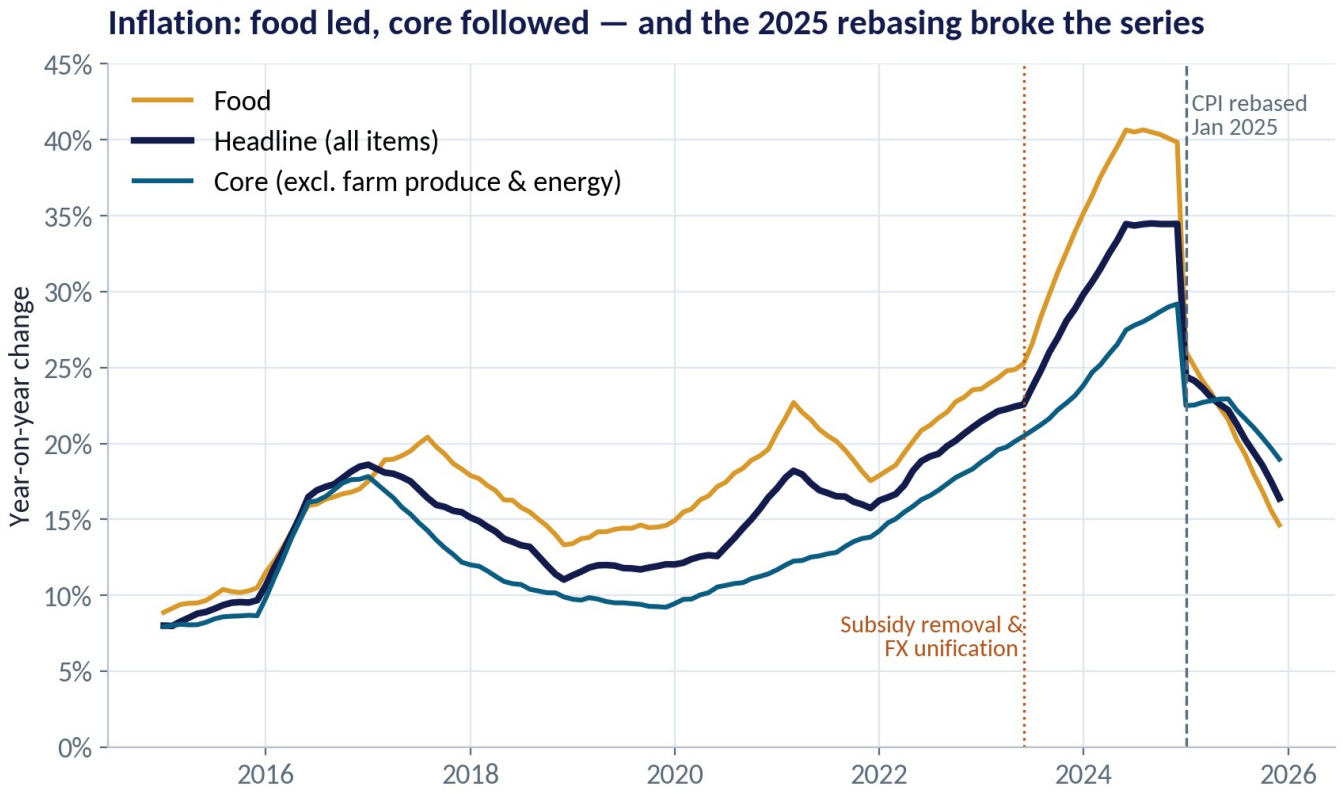
Reading Official Data

Where the numbers come from, and how they mislead.

The Sources Every Manager Should Bookmark

Source	What you get	How often	Watch out for
NBS (nigerianstat.gov.ng)	CPI inflation, GDP, labour force, trade	Monthly / quarterly	Rebasing (CPI 2025, GDP 2014 and 2025); revisions
CBN (cbn.gov.ng)	Policy rate, exchange rates, reserves, money & credit, PMI	Daily to monthly	Several FX rates before 2024; definitions change
IMF (data.imf.org, WEO)	Comparable cross-country data and forecasts	Twice a year	Forecasts are revised often
World Bank (data.worldbank.org)	Long annual series for every country	Annual	One- to two-year lag
FRED (fred.stlouisfed.org)	US and global series, easy to download	Daily to annual	Mostly US-centred

Headline, Food and Core Inflation



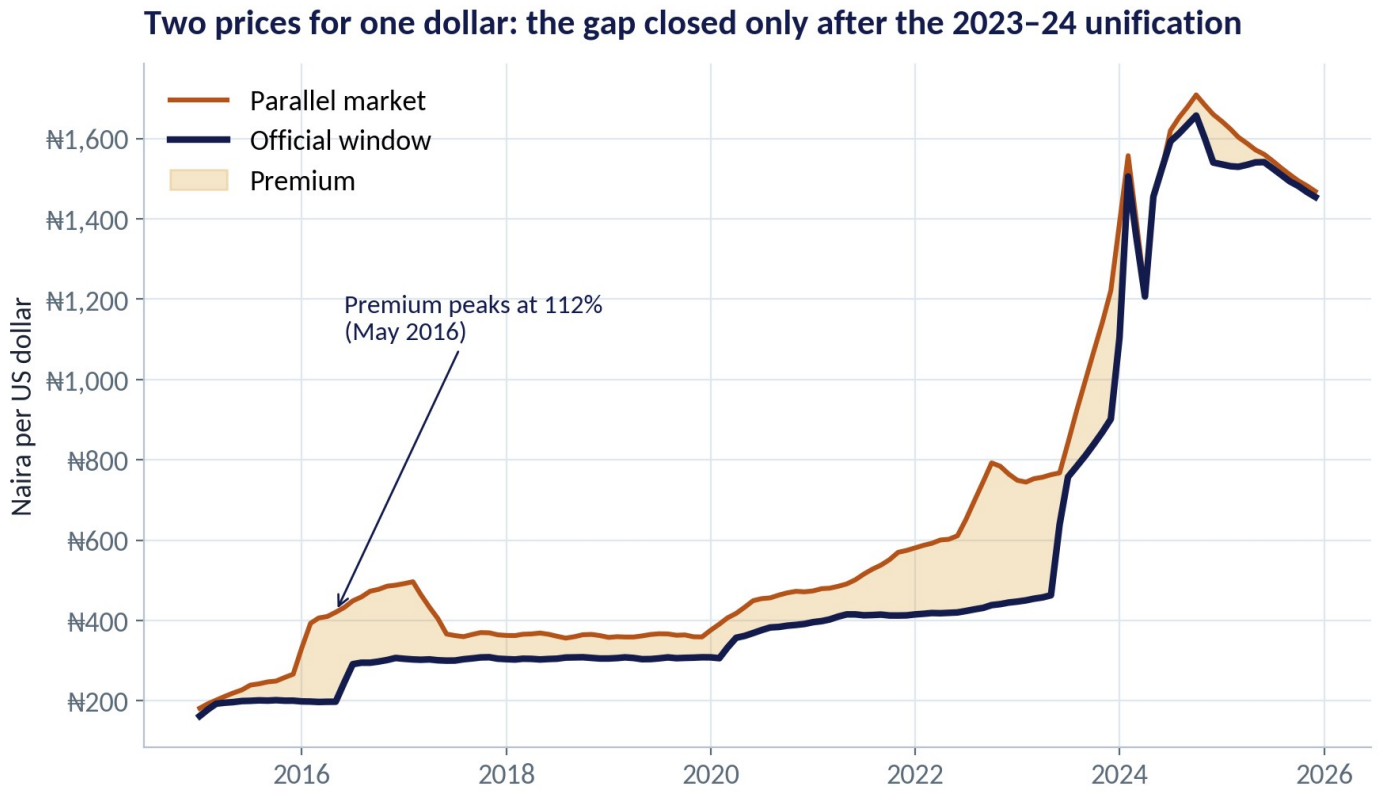
Source: EEGB stylised teaching data (data/). Not official statistics.

Fig S01-F01 · replicate: s01_figures.R / .py

WHAT TO SEE

- **Headline** inflation covers everything in the basket; **food** is about half of a Nigerian household budget.
- **Core** removes volatile farm produce and energy — a better guide to underlying pressure.
- Inflation climbed from about 22% to **34%** after the mid-2023 reforms.
- In January 2025 the CPI was **rebased**: the sudden drop is partly a change of yardstick, not only a change in prices.

Two Prices for One Dollar



Source: EEGB stylised teaching data (data/). Not official statistics.

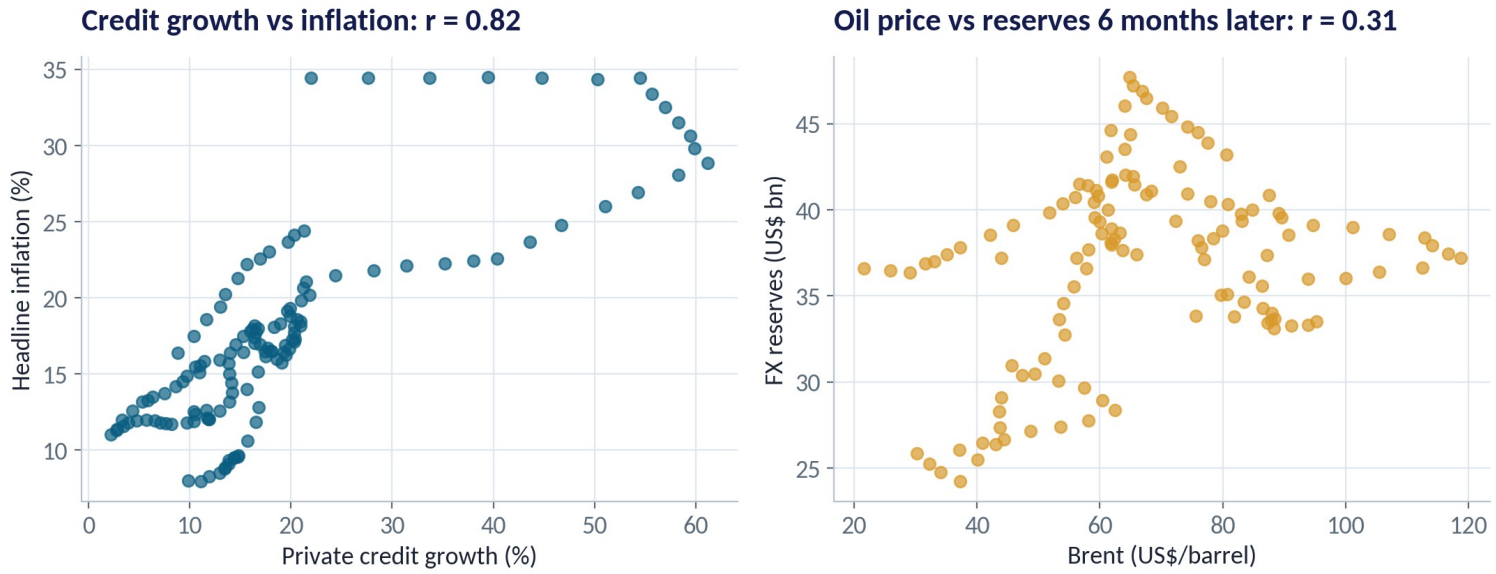
Fig S01-F02 · replicate: s01_figures.R / .py

WHAT TO SEE

- For years the official rate and the parallel market rate differed — at times by more than **100%**.
- A big premium is a signal of rationing: dollars are scarce at the official price.
- Firms that could not access official dollars paid the parallel price — and priced their goods off it.
- After the 2023–24 unification the gap almost closed, at a much weaker naira.

Strong Correlations Can Mislead

A strong correlation with a muddled story, a weak one with a clear causal channel



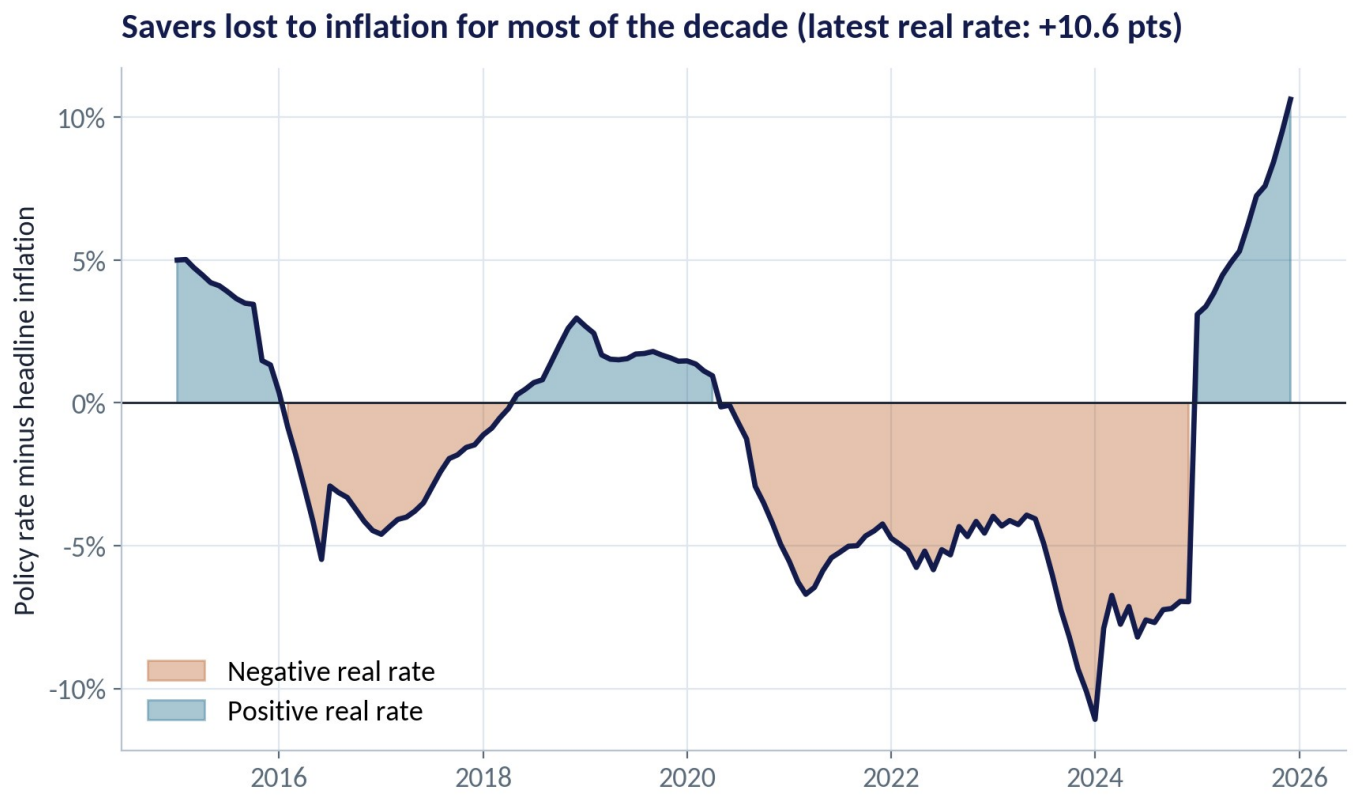
Source: EEGB stylised teaching data (data/). Not official statistics.

Fig S01-F03 · replicate: s01_figures.R / .py

WHAT TO SEE

- Credit growth and inflation move closely together (r = **0.82**) — but both jumped after the 2023 **devaluation**, which revalued dollar loans and raised prices.
- The oil price and reserves have a **weak** correlation (r = 0.31), yet the causal channel is clear: oil earnings supply most of Nigeria's dollars.
- Correlation strength tells you how tightly two series move, **not** whether one causes the other.
- Ask: is there a third factor, a time lag, or reverse causation?

Did Savers Beat Inflation?



Source: EEGB stylised teaching data (data/). Not official statistics.

Fig S01-F05 · replicate: s01_figures.R / .py

WHAT TO SEE

- Real rate = policy rate − inflation.
- For most of 2015–2024 it was **negative**: money in the bank lost purchasing power.
- Negative real rates push savers into dollars, property and stocks — and weaken the naira.
- In 2025 the real rate turned clearly **positive**, helped by rate hikes — and by the CPI rebasing.

Seeing the Economy Before GDP Is Published

IN PLAIN ENGLISH

GDP arrives months late. **Nowcasting** uses faster signals — surveys, payments, fuel sales, electricity use — to estimate what is happening **now**.

EXAMPLE

The PMI fell below 50 in **2016**, during **COVID-19** and again in the **2024** reform squeeze — each time before GDP data confirmed the slowdown.

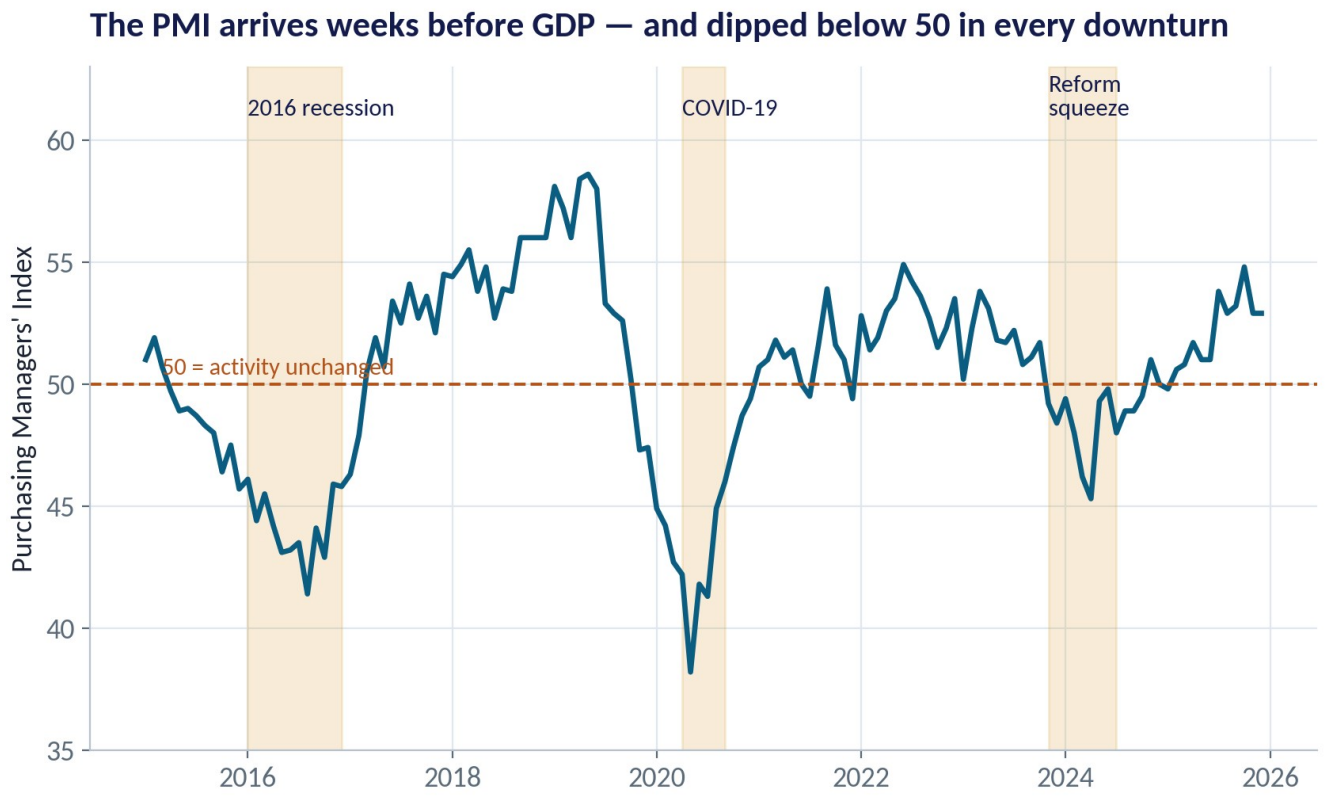
THE FORMULA

PMI > 50 → activity expanding;
PMI < 50 → contracting

WHY A MANAGER CARES

Your own data are nowcasting signals too: daily sales, distributor orders and collections often tell you about the economy weeks before the statistics office does.

The PMI as a Nowcast



Source: EEGB stylised teaching data (data/). Not official statistics.

Fig S01-F06 · replicate: s01_figures.R / .py

WHAT TO SEE

- The Purchasing Managers' Index asks firms whether output, orders and employment are up or down.
- It is published within days of the month's end.
- Shaded periods: the PMI dropped below 50 in every downturn.
- Use it alongside your own sales data, not instead of it.

How Managers Misread Macro Data

THE TRAP	THE BETTER HABIT
✗ Comparing naira sales across years without adjusting for inflation.	✓ Report **real** growth and volume growth alongside naira growth.
✗ Comparing inflation before and after a **rebasing** as if nothing changed.	✓ Check the **base year** and read the statistics office's notes.
✗ Quoting the official exchange rate when your firm pays the parallel rate.	✓ Use the rate at which you **actually** buy and sell dollars.
✗ “Credit growth and inflation are correlated, so lending causes inflation.”	✓ Look for a **third factor**, a lag, or reverse causation before drawing a causal conclusion.
✗ Waiting for GDP to decide whether demand is slowing.	✓ Watch **fast signals**: PMI, your own orders, collections and distributor stock.

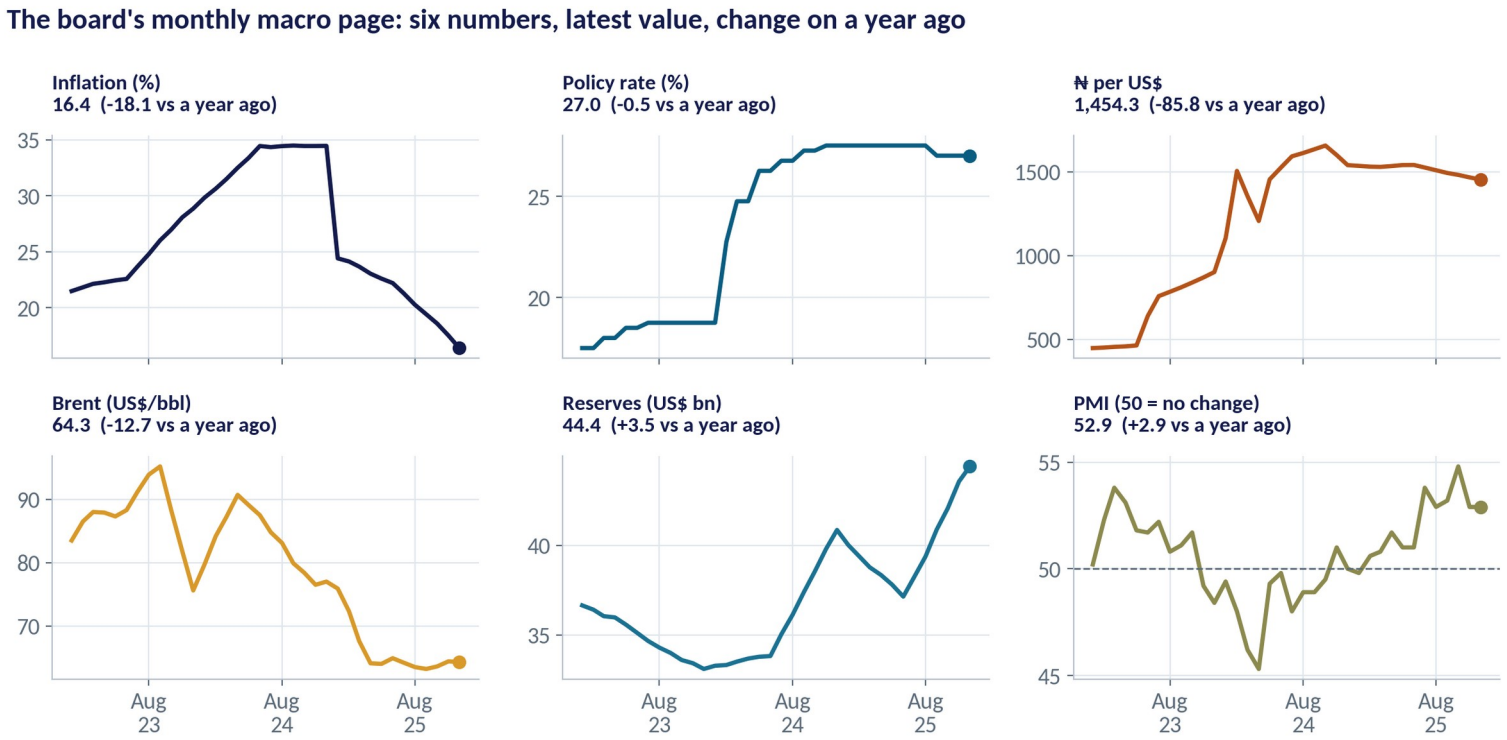
PART

03

The Board's Dashboard

Six numbers, one page, one story.

Six Numbers on One Page



Source: EEGB stylised teaching data (data/). Not official statistics.

Fig S01-F04 · replicate: s01_figures.R / .py

WHAT TO SEE

- Each panel: **latest value**, the trend over three years and the **change on a year ago**.
- Inflation, policy rate, exchange rate, oil price, reserves and PMI cover prices, money, the currency and activity.
- Same layout every month, so directors see change at a glance.
- Add one line of 'so what' under each number for your business.

Quick Check: What Would You Say?

?

Inflation on the dashboard fell from 34.5% to 16.4% in a year, but the CPI was rebased in January 2025. What should the CFO tell the board?

- **A** Inflation has halved — we can cut prices
- **B** Part of the fall reflects the new base and basket, so we should watch month-on-month changes and core inflation before acting
- **C** The rebasing makes all inflation data useless
- **D** Ignore inflation and watch the exchange rate only

Discuss with your neighbour for 60 seconds — answer and reasoning in the speaker notes.

HANDS-ON LAB

Lab: Build the Board's Macro Page

YOU WILL NEED

Data
`data/ng_macro_monthly.csv`

R script
`sessions/s01/R/s01_lab.R`

Python script
`sessions/s01/python/s01_lab.py`

15 minutes

1. Load the data and look at the **latest three months** before calculating anything.
2. Build a table of **six indicators**: latest value, value a year ago, and the change.
3. Add two derived numbers: the **real policy rate** and the **FX premium**.
4. Compare inflation **before and after the CPI rebasing**.
5. Write one 'so what' line for your own company under each number.

Deliverable: a one-page dashboard with six numbers and six 'so what' lines for your board.

WORDS TO OWN

Today's Vocabulary in Plain English

Opportunity cost	The value of the best alternative you give up.
Marginal	The extra benefit or cost of one more unit.
Nominal	Measured in current prices, including inflation.
Real	Adjusted for inflation; shows volume or purchasing power.
Headline inflation	Year-on-year change in the full consumer price index.
Core inflation	Inflation excluding volatile items such as farm produce and energy.
Rebasing	Updating the base year and basket of an index; breaks comparisons.
FX premium	Gap between the parallel and official exchange rates.
Real interest rate	Nominal interest rate minus inflation.
Nowcasting	Estimating current activity from fast, timely signals.

KEY TAKEAWAYS

Session 1 in 5 Ideas

01 Economics is a **management tool**: incentives, opportunity cost and marginal thinking frame every decision.

02 Always separate **nominal from real** and naira from dollars.

03 Know your **sources**, and check for **rebasing, revisions and multiple rates**.

04 **Correlation is not causation**: look for third factors, lags and reverse causation.

05 A good board dashboard is **short, consistent and tied to a 'so what'**.



NEXT › Session 2: Demand, Supply & Elasticity

Before next session: Re-read the Note on Microeconomics for Managers, sections on demand, supply and elasticity. Bring one price your company changed in the last year and what happened to volumes.